

BANKING

Giant on the Move

24 | The merger of HDFC Ltd with HDFC Bank provides immense opportunities

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► **A NEW WAVE** of technology transformation and product strategy is sweeping through the corridors of the country's second-largest bank. Under Managing Director and Chief Executive Officer Sashi Jagdishan, who took up the top job in October 2020, HDFC Bank is determined to evolve into more than just a banking institution. The first big step towards realising that dream was finalised on July 1 when the bank's parent, HDFC Limited, merged with it to create a financial sector giant.

The bank does not see the merger as just a consolidation; it aspires instead to become a dynamic "technology company" that is into banking. To do this, it is banking on the power of bundling—integrating home loans with its bouquet of banking products. But that's not all. The private sector bank is setting

SASHI JAGDISHAN-LED HDFC BANK ASPIRES TO BE A TECH COMPANY THAT IS INTO BANKING

its sights on creating a brand new HDFC Bank every four years.

In an internal communication to employees after the merger, Jagdishan said the runway for growth would be large for a long time to come. "The bank, with its superior digital platform and digital journeys, will have the propensity to up-sell to the home loan customer with a complete bouquet of the group's products across payments, savings,

borrowings, investing, insurance, and trading," he said.

Providing a glimpse of the possibilities, Jagdishan said the bank could now offer an array of products like a savings account for all banking needs, a personal loan for upfront contribution to the builder, a consumer durables loan, life insurance to protect the family in case of any eventuality, home insurance to safeguard against fire and structural damage, a credit card, a systematic investment plan, and EMI payments to create wealth, which can all be accessed with a single click.

"This is going to be a paradigm shift in how we will be doing our businesses in the future—moving from sales management to relationship management. The velocity of product sales and the reduced touch points to serve the customer will be

